

IN THE SENATE

SENATE BILL NO. 1419

BY STATE AFFAIRS COMMITTEE

AN ACT

RELATING TO THE IDAHO CHILD CARE PROGRAM; AMENDING TITLE 56, IDAHO CODE, BY THE ADDITION OF A NEW CHAPTER 25, TITLE 56, IDAHO CODE, TO DEFINE TERMS, TO PROVIDE FOR THE CREATION OF THE IDAHO CHILD CARE PROGRAM, TO ESTABLISH PROVISIONS REGARDING PARENT QUALIFYING ACTIVITIES, TO ESTABLISH PROVISIONS REGARDING APPLICATION, ELIGIBILITY, AND REDETERMINATION, TO PROVIDE AUTHORITY TO CREATE A WAITING LIST AND ADJUST ELIGIBILITY, TO ESTABLISH PROVISIONS REGARDING REQUIREMENTS FOR PROVIDERS, TO ESTABLISH PROVISIONS REGARDING PROGRAM INTEGRITY, TO ESTABLISH PROVISIONS REGARDING PROGRAM OVERSIGHT, TO ESTABLISH PROVISIONS REGARDING CONSTRUCTION, TO ESTABLISH PROVISIONS REGARDING AUTHORITY OF THE ATTORNEY GENERAL, TO ESTABLISH PROVISIONS REGARDING THE STATE PLAN AND LEGISLATIVE APPROVAL REQUIREMENTS, TO PROVIDE THAT THE DEPARTMENT SHALL ISSUE A REQUEST FOR INFORMATION, TO ESTABLISH PROVISIONS REGARDING ADMINISTRATIVE RULES, AND TO ESTABLISH PROVISIONS REGARDING USE OF FUNDS FOR CAPACITY BUILDING; AMENDING SECTION 39-1111, IDAHO CODE, TO REVISE PROVISIONS REGARDING ADMINISTRATIVE RULES; PROVIDING THAT CERTAIN ADMINISTRATIVE RULES CONTAINED IN IDAPA 16.06.12 SHALL BE NULL, VOID, AND OF NO FORCE AND EFFECT; PROVIDING A SUNSET DATE; AND DECLARING AN EMERGENCY.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Title 56, Idaho Code, be, and the same is hereby amended by the addition thereto of a NEW CHAPTER, to be known and designated as Chapter 25, Title 56, Idaho Code, and to read as follows:

CHAPTER 25
IDAHO CHILD CARE PROGRAM

56-2501. DEFINITIONS. As used in this chapter:

(1) "Child care" means care, control, supervision, or maintenance of a child provided for compensation by an individual, other than a parent of the child, for less than twenty-four (24) hours in a day.

(2) "Department" means the Idaho department of health and welfare.

(3) "Eligible child" means a child under thirteen (13) years of age who is either a citizen of or lawfully living in the United States. However, a child who is thirteen (13) years of age or older remains eligible if the child is under court supervision or is verified by either a mental health professional or licensed medical professional to be physically or mentally unable to care for himself.

(4) "FPG" means the federal poverty guidelines published annually by the United States department of health and human services.

(5) "Intentional program violation" means an intentionally false or misleading action or statement that is one (1) of the following:

1 (a) An individual makes a false or misleading statement to the depart-
 2 ment, either orally or in writing, in order to participate in the pro-
 3 gram;

4 (b) An individual misrepresents or conceals one (1) or more facts to the
 5 department, either orally or in writing, to participate in the program;

6 (c) An individual fails repeatedly or substantially to comply with rel-
 7 evant state or federal laws or rules promulgated under this chapter;

8 (d) An individual knowingly violates any term of the individual's
 9 provider agreement; or

10 (e) A provider knowingly fails to meet the qualifications specifically
 11 required in relevant federal law, in this chapter, in chapter 11, title
 12 39, Idaho Code, or the rules promulgated under any of the forgoing laws.

13 (6) "Parent" means a person responsible for a child because of birth,
 14 adoption, marriage, legal guardianship, or foster care.

15 (7) "Program" means the Idaho child care program.

16 (8) "Provider" means an individual, organization, agency, or other en-
 17 tity providing child care.

18 (9) "SMI" means the current state median income estimates determined
 19 for the low income home energy assistance program.

20 56-2502. CREATION OF PROGRAM. There is hereby created in the depart-
 21 ment the Idaho child care program, which, subject to legislative appro-
 22 priation, shall use federal child care funds distributed to the states, as
 23 well as any related state matching funds and maintenance-of-effort funds,
 24 to improve the quality of child care in Idaho for all children and assist
 25 low-income families in Idaho who are working or participating in education
 26 or training activities with help paying for child care, to promote parental
 27 choice to empower working parents to make decisions regarding the child care
 28 services that best suit the needs of individual families, and to maximize
 29 options available to parents. The department shall administer the program
 30 in a manner consistent with this chapter and with all applicable federal
 31 requirements.

32 56-2503. PARENT QUALIFYING ACTIVITIES. (1) Parents in a child's
 33 household must participate in qualifying activities as provided in this sub-
 34 section to be eligible for assistance under this chapter:

35 (a) For a two (2) parent household:

36 (i) At least one (1) parent is employed or self-employed no less
 37 than an average of thirty (30) hours per week per month; and

38 (ii) The other parent is either:

39 1. Employed no less than an average of twenty (20) hours per
 40 week per month; or

41 2. Enrolled and participating in a recognized or accredited
 42 school, training program, or institution of higher educa-
 43 tion for a minimum of twenty (20) hours each week, as deter-
 44 mined by the department; or

45 (b) For a one (1) parent household, which shall include a household
 46 where the parent is under eighteen (18) years of age and is not the head
 47 of the household:

(i) The parent is employed or self-employed no less than an average of thirty (30) hours per week per month; or

(ii) The parent is enrolled and participating in a recognized or accredited school, training program, or institution of higher education for a minimum of twenty (20) hours each week, as determined by the department.

(2) In a two (2) parent household, an incapacitated parent is not required to participate in a qualifying activity pursuant to subsection (1) of this section if the other parent participates in a qualifying activity. An incapacitated parent in a one (1) parent household is not eligible for the program. As used in this subsection, "incapacitated parent" means a parent who is determined by a physician, physician assistant, nurse practitioner, or clinical nurse specialist licensed under the laws of this state to be unfit, incapable, or significantly limited in the ability to provide adequate care for the child or ward. A parent's disability diagnosis alone does not qualify a parent as incapacitated without the licensed provider making the findings required by this subsection.

(3) The following restrictions shall apply to training or education activities:

(a) Online classes shall not be counted as a qualifying activity under this chapter;

(b) Persons who are attending postbaccalaureate classes with no other qualifying activity shall not qualify for assistance under this chapter; and

(c) No more than forty-eight (48) months of postsecondary education shall count as a qualifying activity.

56-2504. APPLICATION -- ELIGIBILITY -- REDETERMINATION. (1) A family who resides in the state of Idaho with no immediate intention of leaving the state may apply to be considered for assistance under this chapter for an eligible child.

(2) An applicant's family assets cannot exceed five hundred thousand dollars (\$500,000), as certified by the applicant.

(3) When applying, a family's income cannot exceed one hundred thirty-five percent (135%) of FPG for a family of the same size.

(4) During the eligibility period, a family's income cannot exceed eighty-five percent (85%) of the SMI for a family of the same size.

(5) At least every twelve (12) months, the department shall redetermine eligibility for assistance under this chapter. At redetermination, if a family's income exceeds one hundred thirty-five percent (135%) but is less than one hundred seventy percent (170%) of FPG for a family of the same size, the family may be eligible to receive a graduated phaseout of child care assistance that is limited to up to twelve (12) months of assistance following the completion of redetermination.

56-2505. AUTHORITY TO CREATE A WAITING LIST AND ADJUST ELIGIBILITY. (1) As necessary to administer the program, the department may establish a waiting list for the program. If the department establishes a waiting list, the department shall give priority to the following categories:

(a) Families who are homeless;

- 1 (b) Families caring for a child with a disability;
- 2 (c) Foster families;
- 3 (d) Families receiving temporary assistance for needy families from
- 4 the department;
- 5 (e) Families receiving any child welfare preventative services from
- 6 the department designed to reduce or eliminate the need for out-of-home
- 7 placement of a child by the department; and
- 8 (f) Households where at least one (1) parent is nineteen (19) years of
- 9 age or younger.

10 56-2506. REQUIREMENTS FOR PROVIDERS. (1) Providers who receive assis-
 11 tance on behalf of eligible children under this chapter shall enter into and
 12 abide by the terms of a provider agreement with the department and shall gen-
 13 erate documentation at the time of service sufficient to support the reim-
 14 bursement for child care services. Providers are required to keep the fol-
 15 lowing child care records:

- 16 (a) Proof of enrollment for each eligible child, with authentication of
- 17 a parent;
- 18 (b) Proof of attendance each day with authentication of a parent,
- 19 guardian, or preapproved designee dropping off and retrieving each
- 20 child;
- 21 (c) Billing and receipts;
- 22 (d) Policies or manuals developed by the provider governing procedures
- 23 for billing, attendance, attendance and enrollment tracking and veri-
- 24 fication, copayment collection, and operating hours;
- 25 (e) All rates, fees, and costs of any kind charged by the provider; and
- 26 (f) Any other related records required by the department for adminis-
- 27 tration of the program.

28 (2) The department shall be permitted access at any time of business op-
 29 erations to the child care facilities of a provider who is receiving assis-
 30 tance on behalf of an eligible child and to monitor and inspect the facility.
 31 The department shall be permitted to access, inspect, review, copy, or re-
 32 move any child care records required by this chapter. A provider shall im-
 33 mediately produce records or provide access upon request by the department.
 34 Records required by this section shall be kept available by the child care
 35 facility at all times for a minimum of three (3) years.

36 (3) Any business entity or individual providing child care who is re-
 37 ceiving assistance on behalf of an eligible child under this chapter shall be
 38 registered as a business entity with the Idaho secretary of state.

39 (4) A provider shall receive payment for assistance on behalf of an eli-
 40 gible child only after substantiating child care attendance and documenting
 41 legitimate services provided in a manner and on a cadence prescribed by the
 42 department.

43 (5) A provider is prohibited from paying, directly or indirectly or
 44 overtly or covertly, for an eligible child to attend the provider's child
 45 care facility.

46 (6) Providers are responsible for ensuring families pay the determined
 47 child care costs and may not waive these costs.

48 (7) Providers receiving assistance on behalf of an eligible child shall
 49 not be considered employees of the department and shall not hold themselves

1 out as employees of the department by virtue of their participation in the
2 program.

3 (8) If a provider is an individual, the provider must be either a citi-
4 zen of or lawfully living in the United States. If the provider is a business
5 entity, the provider must not knowingly hire or employ an employee who is not
6 either a citizen of or lawfully living in the United States.

7 (9) A provider who is receiving assistance on behalf of an eligible
8 child under this chapter shall develop policies, procedures, and controls
9 to govern fiscal responsibility. A provider operating a daycare center, as
10 defined in 39-1102, Idaho Code, shall:

11 (a) In the case of a nonprofit provider, cause an annual financial audit
12 to be conducted; or

13 (b) In the case of a for-profit provider, adhere to generally accepted
14 accounting principles and maintain financial statements and documenta-
15 tion of business-related expenses.

16 56-2507. PROGRAM INTEGRITY. (1) When the department has reasonable
17 suspicion to believe that a provider seeks payment on behalf of an eligible
18 child in a manner contrary to state or federal law, the department is autho-
19 rized to immediately suspend payment and conduct an investigation. Reasons
20 to suspend payment include but are not limited to:

21 (a) Any claims for child care services for which the department has a
22 reasonable suspicion were not provided;

23 (b) Child care services not documented by the provider as required by
24 law or the provider agreement;

25 (c) Child care services provided contrary to state or federal law or the
26 provider agreement;

27 (d) Failure to maintain records or provide immediate access to records
28 as required by law;

29 (e) The department believes a provider is paying for an eligible child
30 to attend the provider's child care facility in violation of law or the
31 provider agreement; or

32 (f) The department has determined that an intentional program viola-
33 tion has occurred and has provided notice of this determination.

34 (2) If the department determines that an intentional program violation
35 has occurred, the department shall send written notice of the determination
36 to the family or provider stating the reasons for the determination. The
37 decision of the department may be appealed to the office of administrative
38 hearings within twenty-eight (28) days of the date of the issuance of the no-
39 tice to the family or provider. The department may continue any suspension
40 of payment for the duration of the administrative appeal.

41 (a) The office of administrative hearings shall, within twenty-eight
42 (28) days of receipt of the appeal, review the full record regarding the
43 department's decision and hold a hearing. After the hearing, the ad-
44 ministrative law judge shall submit a written recommendation to the de-
45 partment and the family or provider. The recommendation by the adminis-
46 trative law judge either to affirm or reverse the department's decision
47 shall be based on the full record of the department's decision and rel-
48 evant state and federal law. The recommendation by the administrative
49 law judge shall be in writing and accompanied by a reasoned opinion.

1 (b) Within twenty-eight (28) days following the issuance of the hear-
2 ing officer's written recommendation, the department shall either af-
3 firm or reverse its initial decision.

4 (c) If, upon reconsideration of its initial decision, the department:

5 (i) Affirms its initial decision, the family or provider may ap-
6 peal pursuant to chapter 52, title 67, Idaho Code; or

7 (ii) Reverses its initial decision, then there shall be no fur-
8 ther appeal and payments shall resume, including back payments.

9 (3) An intentional program violation is established when a family or
10 provider admits the violation in writing and waives any right to a hearing
11 or appeal pursuant to this section or when determined by the department pur-
12 suant to this section. The consequences the department may impose for fraud
13 or any established intentional program violations are as follows:

14 (a) Any family or provider who is established to have committed an in-
15 tentional program violation shall be ineligible for the program for no
16 less than one (1) year but up to a period of three (3) years, as deter-
17 mined by the department.

18 (b) Any family or provider who is established to have committed a second
19 intentional program violation shall be ineligible for the program for a
20 period of no less than two (2) years but up to a period of five (5) years,
21 as determined by the department.

22 (c) Any family or provider who is established to have committed a third
23 or subsequent intentional program violation shall be permanently inel-
24 igible for the program.

25 (4) When the department establishes an intentional program violation,
26 it shall verify that any other benefits an individual receives pursuant to
27 this title strictly conform with state and federal law.

28 (5) For a first violation of the provisions of this subsection, the
29 department may exercise the authority granted pursuant to section 56-209h,
30 Idaho Code, to terminate a provider agreement or otherwise deny provider
31 status for up to five (5) years. Any termination for a second or subsequent
32 violation shall be for a minimum period of five (5) years up to permanent
33 ineligibility for the program, in the discretion of the department. The
34 department may terminate provider status for any provider who:

35 (a) Submits a claim with knowledge the claim is incorrect;

36 (b) Submits a fraudulent claim;

37 (c) Knowingly makes a false statement or representation of material
38 facts in any document required to be maintained or submitted to the de-
39 partment;

40 (d) Fails repeatedly or substantially to comply with relevant federal
41 law, this chapter, or any rules promulgated under this chapter;

42 (e) Knowingly violates any material term or condition of the provider
43 agreement;

44 (f) Has failed to repay, or was a managing entity or had an ownership
45 or control interest in any entity that has failed to repay, any overpay-
46 ments or claims previously found to have been obtained contrary to rel-
47 evant federal law, this chapter or the rules promulgated thereunder, or
48 the provider agreement;

49 (g) Has been found, or was a managing employee in any entity that has
50 been found, to have engaged in fraudulent conduct or abusive conduct;

1 (h) Fails to meet the qualifications specifically required in relevant
2 state or federal law, including chapter 11, title 39, Idaho Code, for
3 providers licensed pursuant to that chapter; or

4 (i) Knowingly hires or employs an employee who is not either a citizen
5 of or lawfully living in the United States, if the provider is a business
6 entity.

7 (6) The department may refuse to enter into a provider agreement when:

8 (a) The provider has been convicted of a felony offense;

9 (b) The provider has failed to repay the department moneys that had been
10 previously determined to have been owed to the department;

11 (c) The provider has a pending investigation for program fraud or
12 abuse;

13 (d) The provider was the managing employee, officer, or owner of an en-
14 tity whose provider agreement was terminated pursuant to subsection (5)
15 of this section; or

16 (e) The provider has a current exclusion from participation in federal
17 programs by the department of health and human services office of the
18 inspector general list of excluded individuals and entities.

19 (7) For any overpayment to a provider for assistance on behalf of an
20 eligible child, the department is authorized to recoup or recover the full
21 amount of overpayment. Interest shall accrue on overpayments at the statu-
22 tory rate established in section 28-22-104, Idaho Code, from the date of the
23 final determination of overpayment; provided, however, interest shall not
24 accrue on overpayments made due to department error. Any overpayment due to
25 family or provider error, intentional program violation, or fraud shall be
26 recovered in full.

27 (8) Department authorities provided pursuant to this section shall not
28 be construed to limit any other authorities available to the department in
29 other relevant state or federal law to prevent or respond to fraud, waste, or
30 abuse and ensure program integrity.

31 (9) The department is authorized to collaborate with local, state, and
32 federal law enforcement to ensure providers and families comply with state
33 and federal law and to aid in the prosecution of any criminal violations of
34 the law arising from the program.

35 (10) The department may promulgate administrative rules, subject to
36 legislative approval, to prevent fraud, waste, or abuse in the program and to
37 ensure program integrity.

38 (11) The department shall submit a report to the legislature by November
39 1 of each year containing relevant results from the program integrity mea-
40 sures implemented in this section. The first report in compliance with this
41 subsection shall include information about the program dating back to 2019
42 through the current year and any relevant findings.

43 56-2508. PROGRAM OVERSIGHT. The department shall, for the purposes
44 of carrying out the provisions of section 56-2507, Idaho Code, implement
45 a fraud detection and remediation system that shall assist in detecting,
46 preventing, and deterring fraud, waste, and abuse in the Idaho child care
47 program.

1 56-2509. CONSTRUCTION. Nothing in this chapter shall be construed to
2 create a right or entitlement to any assistance or benefit to any child, par-
3 ent, family, or provider.

4 56-2510. AUTHORITY OF THE ATTORNEY GENERAL. The department shall re-
5 fer criminal violations of state law that involve or are directly related to
6 this program to the attorney general. When the department refers a case to
7 the attorney general, he is authorized to exercise concurrent investigative
8 and prosecutorial authority and responsibility with county prosecutors to:

9 (1) Prosecute persons for the violation of the criminal provisions of
10 chapter 2, title 56, Idaho Code, that involve or are directly related to this
11 program; and

12 (2) Prosecute persons for criminal offenses that are not defined in
13 chapter 2, title 56, Idaho Code, but that involve or are directly related to
14 this program.

15 56-2511. STATE PLAN -- LEGISLATIVE APPROVAL REQUIRED. (1) The depart-
16 ment shall not seek or implement a state plan amendment for the program that
17 would expand benefits to any additional individuals or class of individuals
18 or would increase any net cost to the state without obtaining approval from
19 the legislature. Such approval must be provided in statute and, to be effec-
20 tive, must be listed in this chapter.

21 (2) The department shall prepare and submit to the legislature by
22 November 1, 2026, a report containing a proposed state plan amendment for
23 the program that shall be consistent with the provisions of this chapter
24 and federal law. If approved as required by subsection (1) of this section,
25 the department shall submit the state plan amendment to the United States
26 department of health and human services.

27 56-2512. REQUEST FOR INFORMATION. The department shall issue a formal
28 request for information on available child care program integrity and over-
29 sight tools and technology and associated costs. As used in this section,
30 program integrity and oversight includes platforms that support child care
31 providers through training, professional development, and scholarships,
32 while also helping families find child care, and that promote program in-
33 tegrity. The department shall prepare and submit a summary report to the
34 legislature no later than November 1, 2026, on available options.

35 56-2513. ADMINISTRATIVE RULES. The department shall seek to move all
36 necessary rules related to the provisions of this chapter into this chapter
37 and eliminate any existing rules that are duplicative or conflicting with
38 the provisions of this chapter by July 1, 2027.

39 56-2514. USE OF FUNDS FOR CAPACITY BUILDING. Any appropriation to
40 the program for capacity building through contracts, grants, or subgrants
41 shall prioritize populations as outlined in section 4.5.4 of the Idaho child
42 care and development fund plan to include infants and toddlers, children in
43 underserved geographic areas, children with disabilities, children who re-
44 ceive care during non-traditional hours, and school-aged children that meet
45 one (1) or more of the preceding criteria. Capacity building funds shall

1 also be prioritized for providers serving children who are in foster care
2 or who are homeless. Qualifying providers may be licensed, non-licensed,
3 or license-exempt. Any provider the department is investigating or has re-
4 ferred to a county prosecutor, to the office of the attorney general, or to
5 the United States attorney's office for prosecution of fraud or misuse of
6 public funds shall not be eligible for provider capacity building funds.

7 SECTION 2. That Section 39-1111, Idaho Code, be, and the same is hereby
8 amended to read as follows:

9 39-1111. RULES AUTHORIZED. In order to implement the provisions of
10 this chapter, the department, in addition to other duties imposed by law,
11 ~~is hereby authorized and directed through rulemaking may promulgate rules,~~
12 subject to legislative approval, to establish procedures necessary to im-
13 plement the provisions of this chapter including procedure for submission
14 of required certificates as provided in sections 39-1109 and 39-1110, Idaho
15 Code, and to conduct the criminal history check provided in section 39-1105,
16 Idaho Code. The rulemaking authority granted in this section shall be lim-
17 ited to the specific standards and procedures required by this chapter. The
18 department shall seek to move all necessary rules into this chapter by July
19 1, ~~2026~~ 2027.

20 SECTION 3. The rules contained in IDAPA 16.06.12, Department of Health
21 and Welfare, relating to Idaho Child Care Program, shall be null, void, and
22 of no force and effect on and after the effective date of this act.

23 SECTION 4. The provisions of Section 1 of this act shall be null, void,
24 and of no force and effect on and after July 1, 2028.

25 SECTION 5. An emergency existing therefor, which emergency is hereby
26 declared to exist, this act shall be in full force and effect on and after its
27 passage and approval.